

BEFORE THE
FEDERAL MARITIME COMMISSION

MAVL CAPITAL, INC. and IAM & AL
GROUP, INC. and MAXIM
OSTROVSKIY,

Plaintiff,

vs.

MARINE TRANSPORT LOGISTICS,
INC. and DIMITRY ALPER,

Defendants.

Docket No. 16-16

Civil Action

RESPONDENT DIMITRY ALPER'S BRIEF IN OPPOSITION
TO COMPLAINANTS' EXCEPTIONS TO INITIAL DECISION

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PRELIMINARY STATEMENT

The respondent Dimitry Alper submits this brief in opposition to the complainants' exceptions to the Initial Decision rendered on January 17, 2017. The Initial Decision addresses the subject of the complaint which refers to The Federal Maritime Commission's ("FMC") jurisdiction over a 2006 Mercedes SL65. The complainants do not file exceptions to the portion of the decision concerning Three Harley Davidson Motorcycles and, thus, the FMC must accept that portion of the decision

Although the complainants go to great length to obfuscate and confuse the issues, the FMC simply does not jurisdiction over the complainant's claims pertaining to the Mercedes. Any alleged conversion, lien applied or bailment of the Mercedes occurred in New Jersey, and thus, does not come under the promulgation of the Shipping Act, 46 U.S.C. § 40101(1).

LEGAL ARGUMENT

A. Standard of Review

A Commission administrative law judge may dismiss *sua sponte* a complaint that fails to state a claim. Rule 12 of the Commission's Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. See e.g. The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District, 2007 WL 2468431 (F.M.C.).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." Bell Atlantic Corp. v. Twombly, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." Ashcroft v. Iqbal, [556 U.S. 662, 677] (2009). The complaint must be sufficient to "give the defendant fair notice of what the ... claim is and the grounds upon which it rests." Bell Atlantic, 550 U.S. at 555 (quoting Conley v. Gibson, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, Federal Practice & Procedure Civ. § 1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is essentially relevant when the tribunal has limited jurisdiction such as this Commission.” Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth., 29 S.R.R. 394, 396 (ALJ 2001) (citing The Government of the Territory of Guam v. Sea-Land Serv., Inc., 28 S.R.R. 252, 265 (FMC 1998); River Parishes Co. Inc. v. Ormet Primary Aluminum Corp., 28 S.R.R. 751, 762 (FMC 1999); NPR, Inc. v. Board of Commissioners of the Port of New Orleans, 28 S.R.R. 1512, 1519 (ALJ 2000)). It is also elemental that parties, such as complainants in the instant case, who invoke the jurisdiction lies. Crowley Liner Services, *supra*, 29 S.R.R. at 396 (citing River Parishes, 28 S.R.R. at 201 (ALJ 1998, affirmed 28 S.R.R. 751 (FMC 1999)); GAAR v. Quirk, 86 F.3d 451, 453 (5th Cir. 1996); Aetna Casualty & Surety Co., et al., 796 F.2d 770, 773 (5th Cir. 1986)).

Dismissal is appropriate in this case because “[l]ack of subject matter jurisdiction, unlike many other objections to jurisdiction of a particular court, cannot be waived. It may be raised at any time by a party to an action, or by the court *sua sponte*.” Bueford v. Resolution Trust Corp., 991 F.2d 481, 485 (8th Cir. 1993). *See also*, In re Ben Carter, 618 F.2d 1093, 1100 (5th Cir. 1980) (“Subject matter jurisdiction is limited by the Constitution and the Congress, and cannot be expanded by judicial interpretation or by the acts or consent of the parties to a case.”)

A complainant alleging a violation of the Shipping Act “has the initial burden of proof to establish the violation. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true. AHL Shipping Company

v. Kinder Morgan Liquids Terminals, LLC, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005).

B. The Mercedes

The Shipping Act regulates, “the common carriage of goods by water in the foreign commerce of the United States.” 46 U.S.C. § 40101(1). The Shipping Act’s applies to common carriers that “provide transportation by water of... cargo between the United States and a foreign country for compensation (and) assume ... responsibility for the transportation from the port or point of receipt to the port or point of destination (and) use... for all or part of that transportation, a vessel operating on the high seas... between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6).

Here the presiding officer properly found that the complainants do not allege that respondent Marine Transport Logistic’s Inc (“MTL”). entered into a written contract to transport the Mercedes from the United States to a foreign port. There was only an agreement to store the Mercedes in the MTL’s warehouse where it is alleged that MTL tortuously converted the vehicle. This allegation, however, does not come under the promulgation of the Shipping Act, therefore, the FMC has no jurisdiction over the Mercedes claim.

The complainant’s late argument of an implied contract is to no avail. First such argument was not asserted in the underlying complaint or in the Complainant’s Response to the Order to Show Cause, and as such, that argument is waived.

Even in reviewing the complainants' implied contract argument, the complainant cannot even establish the existence of an implied contract since the complainants do not state what consideration was rendered. A basic element of any contract, including implied contracts, is consideration. See City of El Centro v. U.S. 922 F. 2nd 816, 820 (Fed. Cir. 1990). The complainants' exceptions do not even attempt the absence of consideration.

Further, the implied contract argument still does not address the fundamental reason why this litigation pertaining to the Mercedes does not come under the Shipping Act. As stated in the Order to Show Cause, the lien arises out of the contract to pay storage fees not on the contract to pay freight (See complainants' Appendix, Exhibit 1, page 21) or the basic assertion in the complaint that "respondents' unlawfully converted this vehicle for the purposes of shipping it overseas and selling it for a profit (see paragraph 35, complaint, attached as Exhibit 6 to Complainants' Appendix). No amount of argument or presenting facts out of context can change the basic premise to the complainants' Initial Complaint that MTL took control of the vehicle in New Jersey, thereby removing jurisdiction from the FMC.

CONCLUSION:

Based on the foregoing, it is respectfully submitted that the Complainants' Exceptions should be denied and ALJ Gurthridge's Initial Decision should be upheld in its entirety.

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CERTIFICATE OF SERVICE

I hereby certify that I have served opposition to complainants' exceptions to the Initial Decision by email to and mailed original and five copies to

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I hereby certify that I have this day served opposition to complainants' exceptions to Initial Decision upon claimants' counsel at the following addresses:

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3/2/17
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